# Assignments – Crib Sheet

An assignment is a sales transaction where the original buyer of a property (the "assignor") allows another buyer (the "assignee") to take over the buyer's rights and obligations of the Agreement of Purchase and Sale, before the original buyer closes on the property (that is, where they take possession of the property). The assignee is the one who ultimately completes the deal with the seller.

In other words, an assignment clause allows the buyer of a home to sell the place before they take possession of it.

In Ontario, Canada, assignments are more common in pre-built homes and condos than on re-sale properties, but they are possible on any type of trade.

When done properly, assignments are legal and can be a useful tool for buyers and sellers.

## Pros

- A high cash injection and profitable strategy.
- An excellent structure for your "Real Estate Business"
- No capital required
- No Credit Involved - Even with no/bad credit you can participate in these types of real estate transactions.
- Great way to start getting involved in real Estate Investing from a knowledge perspective, but also to accumulate capital for down payments and declare income for when you are ready to actually buy properties to add to your portfolio.
- No risk involved if done properly

## Cons

- Finding a buyer can be very stressful
- You are dependent on your buyers to close.
- No Guaranteed Income
- Classified as active income so heavily taxed